

Tempus AI, Inc.
TEM NASDAQ

Buy \$48.50 ▲ 1.36% 12M Price Target \$65.00 52-Week Range \$41.73 – \$104.32 Market Cap \$8.71B

TEM: Beaten Down AI Healthcare Play Looks Interesting Here

WHAT'S CHANGED

- TEM bounced a bit today (+1.4%) but it's basically stuck near 52-week lows — the stock is only 11% off its bottom of \$41.73 and miles below last year's \$104 high
- They just launched an open-source digital pathology consortium (a group effort to share AI tools that analyze tissue samples for cancer diagnosis) — this is them trying to become the standard platform in the space

IMPLICATIONS

Here's the deal: TEM has gotten cut roughly in half from its highs, and the market's basically saying "show me the money." The bullish setup is real — options traders are heavily betting on upside (3x more calls than puts), and big institutions like ARK and BlackRock own over 15% combined. But the CEO dumped \$3M+ in shares back in May, which is never a great look. Translation: smart money is split, and you're getting a chance to buy a fast-growing AI healthcare name at a much more reasonable price than 6 months ago.

VALUATION

At \$8.7B market cap on roughly \$1.2B in expected 2026 revenue, you're paying about 7x sales — meaning \$7 for every \$1 of revenue. That's actually not crazy for a company growing 30%+ in AI healthcare, where peers often trade at 10-15x. If they hit numbers and the market mood shifts, \$65 (about 35% upside) is very doable in 12 months.

KEY RISKS

- They're still losing money — burning cash to grow, and if capital markets get tight they may need to raise money by issuing more shares, which waters down your stake
- The CEO sold over \$3M of stock in late May — when the boss is selling, it's a yellow flag worth watching
- Healthcare AI is getting crowded fast — bigger players like Google and Microsoft have deep pockets and could squeeze margins on the data/diagnostics side

RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

Tempus AI (TEM) Is One Of The Best Healthcare Mid-Cap AI Stock According To Analysts Insider Monkey · 2026-06-10 09:24

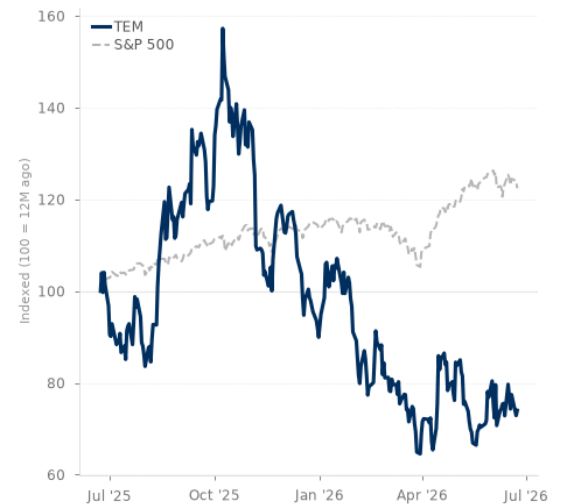
Key Data

Price (USD)	\$48.50
12M Price Target	\$65.00
Upside / (Downside)	+34.0%
Market Cap	\$8.71B
FY2026E Revenue	\$1,240M
FY2027E Revenue	\$1,580M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$55.00	\$48.00	\$42.00
6 Months	\$68.00	\$55.00	\$38.00
1 Year	\$85.00	\$65.00	\$35.00
2 Years	\$115.00	\$78.00	\$30.00
5 Years	\$190.00	\$110.00	\$22.00
10 Years	\$350.00	\$180.00	\$18.00

SECTOR INTELLIGENCE

HEATING UP: Consumer staples, real estate, healthcare, and utilities — classic defensive stuff, meaning investors are getting nervous and parking money in boring/safe sectors

COOLING OFF: Communication services got crushed -4% on the week — tech-adjacent names are taking heat

ROTATION WATCH: Money is rotating OUT of high-growth tech and INTO defensive sectors, which is exactly why a name like TEM (high-growth, no profits yet) has struggled. The good news: healthcare itself is catching a bid today, which could pull TEM along if the trend holds.

RELATED PLAY: If AI healthcare diagnostics gets hot again, watch other genomics/AI names like Recursion (RXRX) or Schrödinger (SDGR) — they tend to move together as a "basket trade."

OUTPERFORMERS & PEER CONTEXT

- VEEV (Veeva Systems): The boring profitable healthcare-tech name — investors keep choosing proven cash flow over speculative AI stories
- ISRG (Intuitive Surgical): Healthcare innovation leader that's actually profitable — keeps grinding higher while unprofitable peers struggle

TEM CONTEXT: TEM is lagging hard — down ~23% YTD while profitable healthcare-tech names hold up. That's the whole story: market wants profits right now, not promises.

INVESTMENT STRATEGY

6/10 Conviction Score

CONVICTION: 6/10 — Solid growth story at a much better price than 6 months ago, but the CEO selling and ongoing losses keep me from going huge

POSITION SIZE: 2-3% of portfolio — this is a speculative growth name with real downside, so size it small enough that a 30% drop doesn't ruin your year

ENTRY POINTS: I'd nibble here around \$48, add more at \$45, and back up the truck if it touches \$42 (near the 52-week low)

TIME HORIZON: 12-24 months — you need two or three more earnings reports to prove the growth-to-profitability story is real

WHEN TO BAIL: Revenue growth drops below 20%, cash runway shrinks under 18 months, or the CEO unloads another big chunk of stock

HEDGING: Buy a small put position (a contract that pays off if the stock drops) at the \$40 strike — cheap insurance given how volatile this name is